OVERVIEW OF THE BUSINESS CYCLE

Learning Outcome

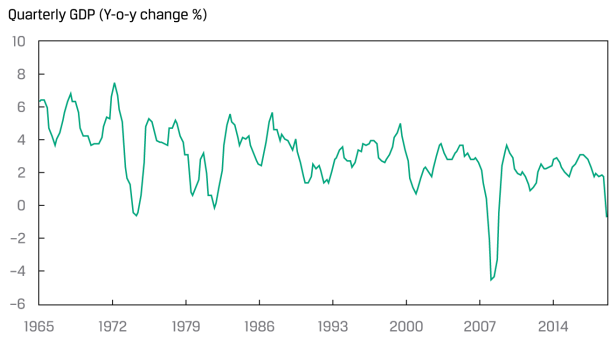
- describe the business cycle and its phases

Business cycles are recurrent expansions and contractions in economic activity affecting broad segments of the economy. In their 1946 book "Measuring Business Cycles", Burns and Mitchell define the business cycle as follows:

> *Business cycles are a type of fluctuation found in the aggregate economic activity of nations that organize their work mainly in business enterprises: a cycle consists of expansions occurring at about the same time in many economic activities, followed by similarly general recessions, contractions, and revivals which merge into the expansion phase of the next cycle; this sequence of events is recurrent but not periodic; in duration, business cycles vary from more than one year to 10 or 12 years.*

This definition is rich with important insight. First, business cycles are typical of economies that rely mainly on business enterprises—therefore, not agrarian societies or centrally planned economies. Second, a cycle has an expected sequence of phases, alternating between expansion and contraction, or upswings and downturns. Third, such phases occur at about the same time throughout the economy. Finally, cycles are recurrent; they happen again and again over time but not in a periodic way; they do not all have the exact same intensity and duration. Exhibit 1 provides an illustration of the pattern of economic growth rate in developed markets.

Exhibit 1: Fluctuations of Growth in OECD Countries over Time



Note: The Organisation for Economic Co-Operation and Development (OECD) includes more than 30 large member countries.
Source: OECD.Stat (https://stats.oecd.org), year-over-year change in quarterly GDP in OECD countries.

Burns and Mitchell's definition remains helpful. History never repeats itself in quite the same way, but it certainly does offer patterns that can be used when analyzing the present and forecasting the future. Business cycle analysis is a wide-ranging topic with conflicting perspectives held by industry participants.

Phases of the Business Cycle

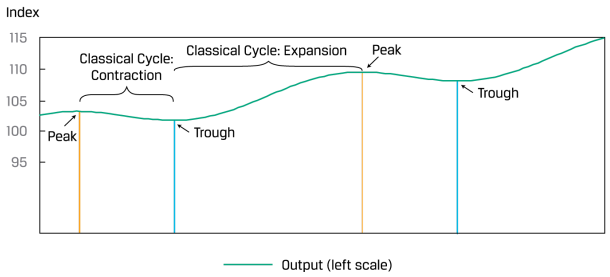
Business cycles are recurring sequences of alternating upswings and downturns. The business cycle can be broken into phases in various ways. The most obvious way is to divide it into two primary segments: the expansion, or the upswing, and the contraction, or the downturn, with two key turning points, or peaks and troughs (see Exhibits 2 and 3). These two periods are fairly easy to identify in retrospect. Subdividing the cycle more finely, however, becomes ambiguous, even in retrospect, because it requires identifying more nuanced changes, such as acceleration or deceleration of growth without a change in its direction. It thus is useful to divide the cycle into several phases distinguished through both economic and financial market characteristics. Our focus is on economic characteristics of the different phases, but we also will highlight their implication for the behavior of different segments of the financial markets.

The timing of these periods will depend on the type of cycle. Before moving on to the description of the four distinct phases to which we will refer in the subsequent sections, we first explain the different cycle concepts that analysts should be aware of given the range of different opinions, interpretations, and descriptions that practitioners use.

Types of Cycles

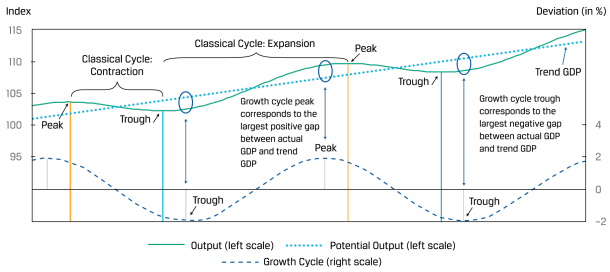
- **Classical cycle** refers to fluctuations in the level of economic activity (e.g., measured by GDP in volume terms). The contraction phases between peaks and troughs are often short, whereas expansion phases are much longer. Exhibit 2 shows the classical cycle of economic activity. In practice, the classical cycle is not used extensively by academics and practitioners because it does not easily allow the breakdown of

Exhibit 2: Classical Cycle



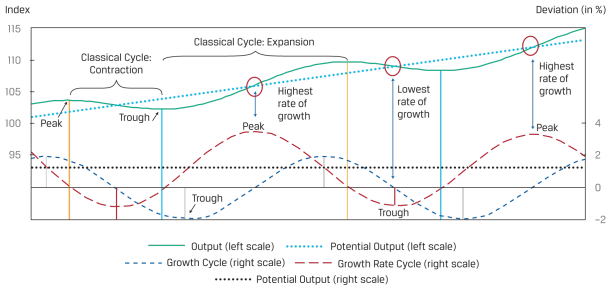
- **Growth cycle** refers to fluctuations in economic activity around the long-term potential or trend growth level. The focus is on how much actual economic activity is below or above trend growth in economic activity. The dashed "wave" in the lower part of Exhibit 3 captures the fluctuation of actual activity from trend growth activity. Exhibit 3 shows "gaps" between actual and trend output. The growth cycle definition comes closest to how mainstream economists think: It dissects overall economic activity into a part driven by long-run trends and a part reflecting short-run fluctuations. Compared with the classical view of business cycles, peaks generally are reached earlier and troughs later in time. The time periods below and above trend growth are of similar length.

Exhibit 3: Classical and Growth Cycles



- **Growth rate cycle** refers to fluctuations in the growth rate of economic activity (e.g., GDP growth rate). Peaks and troughs are mostly recognized earlier than when using the other two definitions (see Exhibit 4). One advantage of this approach is that it is not necessary to first estimate a long-run growth path. Nevertheless, economists often refer to economic growth being above or below potential growth rate, reflecting upswings or downturns.

Exhibit 4: Classical, Growth, and Growth Rate Cycles



Notes: The vertical lines indicate troughs and peaks when using either the classical, growth, or growth rate cycle definition of a business cycle. The growth cycle reflects the percentage deviation of output relative to its trend. The growth rates in the growth rate cycle are calculated as annualized month-over-month growth rates.

Practical Issues

In practice, the definitions of a business cycle are used interchangeably, which often causes confusion regarding how one labels the phases and their timing. The classical cycle definition is rarely used. In line with how most economists and practitioners view the cycle, we will generally be using the growth cycle concept in which business cycles can be thought of as fluctuations around potential output (the trend in potential output is shown as the upward sloping dotted line in Exhibit 3).

Four Phases of the Cycle

The overall business cycle can be split into four phases:

Recovery: The economy is going through the "trough" of the cycle, where actual output is at its lowest level relative to potential output. Economic activity, including consumer and business spending, is below potential

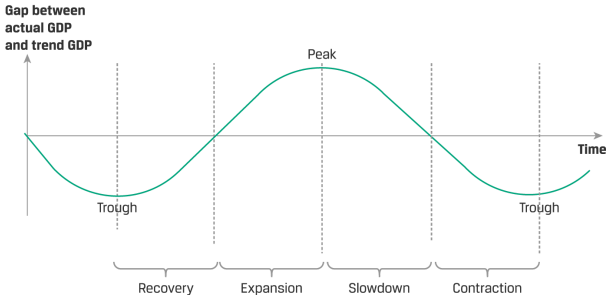
Expansion: The recovery gathers pace, output increases, and the rate of growth is above average. Actual output rises above potential output, and the economy enters the so-called boom phase. Consumers increase spending, and companies increase production, employment, and investment. Prices and interest rates may start increasing. As the expansion continues, the economy may start to experience shortages in factors of production. Overinvestment in productive capacity may lead companies to reduce further investment spending.

Slowdown: Output of the economy reaches its highest level relative to potential output (largest positive output gap). The growth rate begins to slow relative to potential output growth, and the positive output gap begins to narrow. Consumers remain optimistic about the economy, but companies may rely on overtime rather than using new hires to meet demand. Inflation slows at some point, and price levels may decrease.

Contraction: Actual economic output falls below potential economic output. Consumer and business confidence declines. Companies reduce costs by eliminating overtime and reducing employment. The economy may experience declines in absolute economic activity; a recession; or if the fall in activity is particularly large, a depression. If the decline is moderate, this phase tends to be shorter than the expansion phase.

Exhibit 5 provides a summary of the key characteristics of each phase and describes how several important economic variables evolve through the course of a business cycle.

Exhibit 5: Business Cycle Phase Characteristics



▶ Expand / collapse Extended Description

Phase	Recovery	Expansion	Slowdown	Contraction
Description	Economy going through a trough. Negative output gap starts to narrow.	Economy enjoying an upswing. Positive output gap opens.	Economy going through a peak. Positive output gap starts to narrow.	Economy weakens and may go into a recession. Negative output gap opens.
Activity levels: consumers and businesses	Activity levels are below potential but start to increase.	Activity measures show above-average growth rates.	Activity measures are above average but decelerating. Moving to below-average rates of growth.	Activity measures are below potential. Growth is lower than normal.
Employment	Layoffs slow. Businesses rely on overtime before moving to hiring. Unemployment remains higher than average.	Businesses move from using overtime and temporary employees to hiring. Unemployment rate stabilizes and starts falling.	Business continue hiring but at a slower pace. Unemployment rate continues to fall but at decreasing rates.	Businesses first cut hours, eliminate overtime, and freeze hiring, followed by outright layoffs. Unemployment rate starts to rise.
Inflation	Inflation remains moderate.	Inflation picks up modestly.	Inflation further accelerates.	Inflation decelerates but with a lag.

Leads and Lags in Business and Consumer Decision Making

The behavior of businesses and households is key to the cycle and frequently incorporates leads and lags relative to what are established as turning points. For example, at the beginning of an expansion phase, companies may want to fully use their existing workforce and wait to hire new employees until they are sure that the economy is indeed growing. However, gradually all economic variables are going to revert toward their normal range of values (e.g., GDP growth will be close to potential, or average, growth).

Market Conditions and Investor Behavior

Many economic variables and sectors of the economy have distinctive cyclical patterns. Knowledge of these patterns can offer insight into likely cyclical directions overall, or it can be particularly applicable to an investment strategy that requires more specific rather than general cyclical insights for investment success.

Recovery Phase

When asset markets expect the end of a recession and the beginning of an expansion phase, risky assets will be repriced upward. When an expansion is expected, the markets will start incorporating higher profit expectations into the prices of corporate bonds and stocks. Typically, equity markets will hit a trough about

Expansion Phase

When an economy's expansion is well-established, a later part of an expansion, referred to as a "**boom**," often follows. The boom is an expansionary phase characterized by economic growth "testing the limits" of the economy, strong confidence, profit, and credit growth. For example, companies may expand so much that they have difficulty finding qualified workers and will compete with other prospective employers by raising wages and continuing to expand capacity, relying on strong cash flows and borrowing. The government or central bank may step in if it is concerned about the economy overheating.

Slowdown Phase

During the boom, the riskiest assets will often have substantial price increases. Safe assets, such as government bonds that were more highly prized during recession, may have lower prices and thus higher yields. In addition, investors may fear higher inflation, which also contributes to higher nominal yields.

Contraction Phase

During contraction, investors place relatively high values on such safer assets as government securities and shares of companies with steady (or growing) positive cash flows, such as utilities and producers of staple goods. Such preferences reflect the fact that the marginal utility of a safe income stream increases in periods when employment is insecure or declining.

When Do Recessions Begin and End?

A simple and commonly referred to rule is the following: A recession has started when a country or region experiences two consecutive quarters of negative real GDP growth. Real GDP growth is a measure of the "real" or "inflation-adjusted" growth of the overall economy. This rule can be misleading because it does not indicate a recession if real GDP growth is negative in one quarter, slightly positive the next quarter, and again negative in the next quarter. Many analysts question this result. This issue is why some countries have statistical and economic committees that apply the principles stated by Burns and Mitchell to several macroeconomic variables—not just real GDP growth—as a basis to identify business cycle peaks and troughs. The National Bureau of Economic Research (NBER) is an organization that dates business cycles in the United States. Interestingly, the economists and statisticians on NBER's Business Cycle Dating Committee analyze numerous time series of data focusing on employment, industrial production, and sales. Because the data are available with a delay (preliminary data releases can be revised even several years after the period they refer to), it also means that the Committee's determinations may take place well after the business cycle turning points have occurred. As we will see later in the reading, practical indicators may help economists understand in advance if a cyclical turning point is about to happen.

1. Which of the following rules is *most likely* to be used to determine whether the economy is in a recession?

   A. The central bank has run out of foreign reserves.
   B. Real GDP has two consecutive quarters of negative growth.
   C. Economic activity experiences a significant decline in two business sectors.

   Hide Solution

   Solution:

   B is correct. GDP is a measure of economic activity for the whole economy. Changes in foreign reserves or a limited number of sectors may not have a material impact on the whole economy.

2. Suppose you are interested in forecasting earnings growth for a company active in a country where no official business cycle dating committee (such as the NBER) exists. The variables you are *most likely* to consider to identify peaks and troughs of a country's business cycle are:

   A. inflation, interest rates, and unemployment.
   B. stock market values and money supply.
   C. unemployment, GDP growth, industrial production, and inflation.

   Hide Solution

   Solution:

   C is correct. Unemployment, GDP growth, industrial production, and inflation are measures of economic activity. The discount rate, the monetary base, and stock market indexes are not direct measures of economic activities. The first two are determined by monetary policy, which react to economic activities, whereas the stock market indexes tend to be forward looking or leading indicators of the economy.

Question Set

A. periodic.
B. recurrent.
C. of similar duration.

Hide Solution

Solution:

B is correct. The stages of the business cycle occur repeatedly over time.

2. During the contraction phase of a business cycle, it is *most likely* that:

A. inflation indicators are stable.
B. aggregate economic activity relative to potential output is decreasing.
C. investor preference for government securities declines.

Hide Solution

Solution:

B is correct. The net trend during contraction is negative.

3. An economic peak is *most* closely associated with:

A. accelerating inflation.
B. stable unemployment.
C. declining capital spending.

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Solution:

A is correct. Inflation is rising at peaks.

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